

MARKET SURVEY:

LCD Display Panels: What Ails the Manufacturing Ecosystem



Mrinmoy Dey was working as a senior correspondent at EFY until recently

A Frost & Sullivan study titled 'Analysis of the Indian LCD Panel Market,' published in 2009, highlighted the increasing demand for LCD panels for domestic consumption and conceded that, keeping a wide scope of application and high local demand in perspective, the time is ideal for LCD panel manufacturing in India. The report noted, "Local demand, export prospects, government initiatives, wide applications and low setup costs during the economic decline favour LCD panel manufacturers, making it an ideal time for LCD panel manufacturing in India."

Six years have passed and many factors that were favourable during that period have only progressed on to the positive side. For example, local demand has gone up manifold, thanks to the increasing demand from the consumer electronics sector as well as increased manufacturing activities. Applications have only increased over time. And now, the government is actively promoting domestic manufacturing through its Make in India initiative. This comes at a time when production costs are going up worldwide.

So the scope of manufacturing has become even more favourable. Also, announcement from Sterilite Technologies, a part of Anil Agarwal-led Vedanta Group,

about setting up LCD panel manufacturing units with an investment of ₹ 400 billion is an indication of the same. However, overall at industry level, there is very little value addition that is being done in India. LCD panel manufacturing has not picked up as one would have expected.

But, can this trend be buckled down? With the rising cost of production in China and strengthening of yuan against the US dollar, investors are looking at alternate manufacturing destinations. Will China's pain turn out to be India's gain? And, what could be the panacea of the ills that bedevils the state of LCD panel manufacturing in India? This EFY report tries to seek answers to all these questions.

The rising local demand

Before delving deep into problems and looking for solutions, let us first understand the positives or what ticks. Local demand has increased manifold. Demand for LCD panels primarily stems from the following sectors:

- Televisions
- Monitors
- Mobiles, tablets and digital cameras
- ATMs and point-of-sale devices
- Industrial automation

As per a 2014 joint report on ESDM sector by IESA and Frost & Sullivan, the flat-panel